AI EQUITY RESEARCH October 12, 2026

NVIDIA Corporation

NVDA Technology

RATING

Overweight

PRICE

$226.32

TARGET

$339.17

MARKET CAP

$5,464.95B

P/E (FWD)

43.3x

P/B RATIO

28.88x

ROE

76.3%

DIV. YIELD

0.02%

52W RANGE

$164.27 - $243.37

Investment Thesis

> NVIDIA Corporation demonstrated exceptional financial growth from 2022A to 2026A, achieving a historical revenue CAGR of 68.3% and expanding EBITDA margin from 42.2% to 66.9%. The company's net debt position improved significantly, declining from $9.8 billion in 2022A to $0.8 billion in 2026A. NVIDIA's robust profitability and strong balance sheet underscore its leadership in the semiconductor industry.

Company Overview

NVIDIA Corporation is a leading provider of advanced graphics, computational, and networking solutions, serving markets across the United States, Taiwan, China, and internationally. Founded in 1993 and headquartered in Santa Clara, California, the company operates primarily in the technology sector within the semiconductor industry. Under the leadership of CEO Jensen Huang, NVIDIA has established itself as a key innovator in both consumer and enterprise computing.

NVIDIA's business model is structured around two main segments: Graphics and Compute & Networking. The Graphics division is anchored by GeForce GPUs, which are central to PC gaming and personal computing. This segment also includes the GeForce NOW cloud gaming service, Quadro and NVIDIA RTX GPUs for professional visualization, vGPU software for cloud-based visual computing, automotive infotainment platforms, and the Omniverse software suite for 3D design and virtual world creation.

The Compute & Networking segment is a cornerstone for artificial intelligence (AI), high-performance computing (HPC), and accelerated data center platforms. It incorporates Mellanox networking and interconnect solutions, automotive AI Cockpit technologies, and autonomous driving development through strategic agreements. This segment also produces cryptocurrency mining processors, Jetson platforms for robotics and embedded applications, and enterprise AI software such as NVIDIA AI Enterprise. NVIDIA's solutions are widely used across gaming, professional visualization, data center, and automotive industries.

The company distributes its products through a broad ecosystem, including original equipment and device manufacturers, system integrators, add-in board makers, retail channels, software vendors, internet and cloud service providers, automotive manufacturers and suppliers, mapping firms, and technology startups. NVIDIA also maintains a notable strategic partnership with Kroger Co.

In terms of recent performance, NVIDIA has demonstrated exceptional growth. Revenue increased from **$26.9 billion** in 2022A to **$215.9 billion** in 2026A, representing a historical CAGR of **68.3%** from 2022A to 2026A. The company's EBITDA rose from **$11.4 billion** in 2022A to **$144.6 billion** in 2026A, with EBITDA margins expanding from **42.2%** in 2022A to **66.9%** in 2026A. Contribution margins and EPS have also shown significant improvement over this period. NVIDIA's financial strength is further reflected in its declining net debt, which decreased from **$9.8 billion** in 2022A to **$0.8 billion** in 2026A. These results underscore NVIDIA's strong market position and its ability to capitalize on the growing demand for AI, gaming, and data center solutions.

Investment Overview

NVIDIA Corporation has demonstrated exceptional financial performance over the past several years, driven by its leadership in advanced graphics, AI, and data center solutions. In the most recent reported period, 2026A, NVIDIA achieved revenue of **$215.94 billion**, a substantial increase from **$130.50 billion** in 2025A and **$60.92 billion** in 2024A. This translates to a historical revenue CAGR of **68.3%** from 2022A to 2026A, underscoring the company's rapid expansion.

Profitability has also surged. EBITDA reached **$144.55 billion** in 2026A, up from **$86.14 billion** in 2025A and **$35.58 billion** in 2024A. EBITDA margin improved to **66.9%** in 2026A, reflecting strong operating leverage and robust demand for NVIDIA's high-margin data center and AI platforms. Contribution margin remained high at **71.1%** in 2026A. EPS climbed to $4.93 in 2026A, compared to $2.97 in 2025A and $1.21 in 2024A.

Looking ahead, NVIDIA's Financial Metrics forecast continued, though more moderate, growth. Revenue is expected to reach **$226.73 billion** in 2027E, **$240.34 billion** in 2028E, and **$249.95 billion** in 2029E, with annual growth rates of **5.0%**, **6.0%**, and **4.0%**, respectively. EBITDA margins are forecast to further expand, reaching **73.5%** by 2029E. EPS is projected to rise to **$5.88 b**y 2029E.

NVIDIA's growth is fueled by its dominant position in AI, high-performance computing, and accelerated data center platforms, as well as ongoing innovation in graphics and networking. The company's broad ecosystem and strategic partnerships, such as with Kroger Co., support its diversified revenue streams across gaming, professional visualization, data center, and automotive markets.

> In summary, NVIDIA’s recent actual results highlight extraordinary growth and profitability, with forecasts indicating sustained momentum, albeit at a more normalized pace. The company’s strong financial position and leadership in key technology sectors underpin a positive outlook.

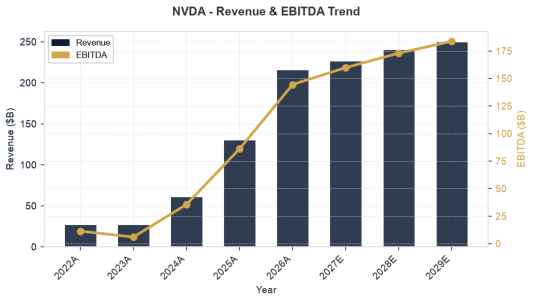
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2026A)	**$215.94B**
EBITDA (2026A)	**$144.55B**
Revenue Growth (2026A)	**65.5%**



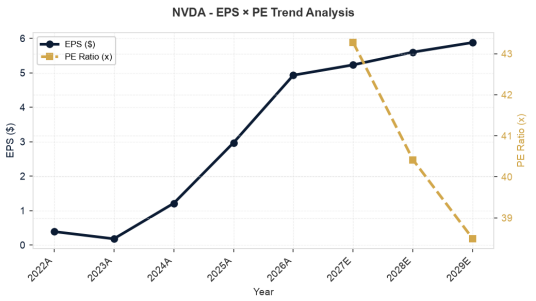
Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2026A)	**4.93**
Forward P/E (2027E)	**43.3x**



Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Valuation Analysis

NVIDIA Corporation’s valuation metrics reflect its rapid transformation and dominant position in the semiconductor industry, particularly in AI and data center solutions. As of 2026A, NVIDIA reported an EBITDA of **$144.55 billion** and an EBITDA margin of **66.9%**, significantly higher than its closest peers. For comparison, Advanced Micro Devices (AMD) and Intel (INTC) reported 2025 EBITDA of **$7.28 billion** and **$14.35 billion**, respectively, while NVIDIA’s 2025 EBITDA was **$86.14 billion**. This highlights NVIDIA’s exceptional scale and profitability.

NVIDIA's EV/EBITDA multiple has moderated from a peak of **81.05x** in 2023A to **43.45x** in 2024A, **33.78x** in 2025A, and **31.43x** in 2026A. These multiples remain above those of AMD (**38.27x** in 2024A, **47.85x** in 2025A) and Intel (**14.50x** in 2025A), reflecting the market's premium for NVIDIA's superior growth and margins. Notably, NVIDIA's historical revenue CAGR from 2022A to 2026A was **68.3%**, underscoring its explosive expansion, while EBITDA margins have consistently exceeded **58%** since 2024A.

Looking ahead, NVIDIA's own forecasts anticipate continued revenue and EBITDA growth, with 2027E EBITDA expected at **$159.85 billion** and a margin of **70.5%**. While revenue growth rates are forecast to moderate (**5.0%** in 2027E, **6.0%** in 2028E, **4.0%** in 2029E), profitability remains robust, with EBITDA margins projected to rise further.

> In summary, NVIDIA trades at a premium to peers on EV/EBITDA, justified by its industry-leading growth, scale, and profitability. The company's fair value appears supported by its strong financial performance and outlook, though the premium valuation reflects high market expectations for sustained leadership in AI and accelerated computing.

Target Price Derivation

Method	Target Price	Low	High	Weight	Key Assumptions
EV/EBITDA	$287.61	$223.57	$362.19	100%	EBITDA: 159848104500.0; Target Multiple: 43.5; Historical Median Multiple: 43.5
DCF	$59.62	$52.57	$68.85	100%	Base Actual FCF: 96676000000.0; Normalized FCF Margin: 45.3%; Historical FCF Margin Years: [2024, 2025, 2026]
Peer Comparison	$206.32	$95.94	$316.69	100%	Peer Avg Multiple: 31.2; Peer Range: 14.5x - 47.8x; Number of Peers: 2

WEIGHTED TARGET PRICE

$184.52

VALUATION RANGE

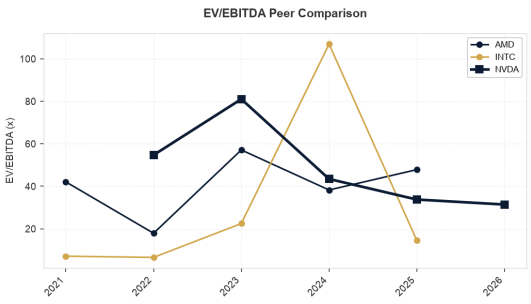
$124.02 - $249.25

IMPLIED DOWNSIDE

18.5%

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

NVIDIA Corporation has recently been in the spotlight due to several significant developments. Most notably, the company announced a historic **$150 billion** stock buyback plan, as reported on October 12, 2026. This massive repurchase program underscores NVIDIA's confidence in its long-term growth prospects and is likely to be viewed positively by investors, as it signals management's belief that the stock is undervalued and could provide support to the share price.

Despite this announcement, NVIDIA shares experienced a **1.3%** decline, with the stock seeing a more pronounced dip than the broader market in recent trading sessions. Several news sources attribute this weakness to broader market volatility and sector-specific pressures, rather than company-specific issues. Additionally, the chip sector as a whole has been mixed, with major players like Intel, AMD, and Micron also experiencing fluctuations after the worst week in a month for chip stocks.

Investor sentiment remains divided. Some analysts argue that NVIDIA's stock may be **27%** undervalued despite reaching record highs, highlighting the company's rapid growth and strong fundamentals. Others point to increased competition, noting that a private AI chip startup has outperformed NVIDIA's stock gains recently, which could signal rising challenges in the AI and semiconductor space.

NVIDIA's diverse business model—spanning gaming, professional visualization, data centers, automotive, and AI—continues to drive robust growth. The company's strategic moves, such as the buyback and ongoing expansion in AI and data center markets, reinforce its leadership position. However, heightened competition and market volatility remain key risks for investors to monitor. Overall, the buyback plan and growth trajectory may provide long-term support, but near-term stock performance could remain volatile.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2027E Revenue Growth: **5.0%**
- 2027E EBITDA Margin: **70.5%**
- 2028E Revenue Growth: **6.0%**
- 2028E EBITDA Margin: **72.0%**
- 2029E Revenue Growth: **4.0%**
- 2029E EBITDA Margin: **73.5%**

Scenario Ranges:

- Revenue: **$212.5B** - **$287.4B** (+/**-15%** around 2029E base forecast)
- EBITDA: **$156.2B** - **$211.3B** (+/**-15%** around 2029E base forecast)

Sensitivity Notes:

- Revenue growth sensitivity: ±**5%** change in growth rate
- Margin sensitivity: ±**2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Scenario Ranges

Revenue	$212.5B — $287.4B (+/-15% around 2029E base)
EBITDA	$156.2B — $211.3B (+/-15% around 2029E base)

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- **Market** (2026-10-11): Nvidia Stock: Finding New Ways To Extend The AI Growth Runway (NASDAQ:NVDA) - Seeking Alpha
- Impact: LOW
- Source: Seeking Alpha

- Source: Seeking Alpha
- **Acquisition** (2026-10-12): Bank of America Corp DE Acquires 4,165,875 Shares of NVIDIA Corporation $NVDA - MarketBeat
- Impact: HIGH
- Source: MarketBeat
- Source: MarketBeat

Events to Monitor

- Nvidia (NVDA) vs. Broadcom (AVGO): Which AI Stock Is a Better Buy After the OpenAI Scare? - Yahoo Finance (2026-10-12)
- Source: Yahoo Finance
- NVDA Upcoming Quarterly Earnings (TBD (unverified))
- Source: Unverified Calendar

Upcoming Catalysts

▲ **ACQUISITION** Impact: medium
Bank of America Corp DE Acquires 4,165,875 Shares of NVIDIA Corporation $NVDA - MarketBeat

▲ **MARKET** Impact: medium
Nvidia Stock: Finding New Ways To Extend The AI Growth Runway (NASDAQ:NVDA) - Seeking Alpha

● **MANAGEMENT** Impact: medium
Nvidia (NVDA) vs. Broadcom (AVGO): Which AI Stock Is a Better Buy After the OpenAI Scare? - Yahoo Finance

● **EARNINGS** Impact: medium
NVDA Upcoming Quarterly Earnings

Positive Catalysts

✓ Nvidia Stock: Finding New Ways To Extend The AI Growth Runway (NASDAQ:NVDA) - Seeking Alpha

✓ Bank of America Corp DE Acquires 4,165,875 Shares of NVIDIA Corporation $NVDA - MarketBeat

Technical & Advanced Analysis

Technical Overview — NVDA

Current Price: **$226.32** | 52-Week Range: **$164.27 - $243.37**

Overall Technical Signal: **Neutral**

Moving Averages Bullish

SMA 50: **$222.59** | SMA 200: **$202.34**

RSI Neutral

RSI (14): **46.4** — Neutral zone.

MACD Bearish

MACD: **3.28** | Signal: **3.71** | Histogram: **-0.44**

Volume Normal

Latest: **69.7M** | 20d Avg: **105.7M** | Ratio: **0.66x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	$4.2B	$5.5B	$4.1B	$5.3B	$7.3B	-	$8.6B
INTC	$33.9B	$21.3B	$11.2B	$1.2B	$14.4B	-	$47.4B
NVDA	-	$11.4B	$6.0B	$35.6B	$86.1B	$144.6B	$159.8B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

NVIDIA Corporation operates as a leading provider of advanced graphics, computational, and networking solutions, with a diversified portfolio spanning gaming, professional visualization, data center, and automotive sectors. Compared to its primary semiconductor peers, Advanced

Micro Devices (AMD) and Intel Corporation (INTC), NVIDIA has demonstrated exceptional financial performance and growth in recent years.

From 2022A to 2026A, NVIDIA achieved a historical revenue CAGR of **68.3%**, reflecting rapid expansion, particularly in AI and data center markets. In 2026A, NVIDIA reported revenue of **$215.94 billion**, far surpassing its 2022A revenue of **$26.91 billion**. This growth is also evident in EBITDA, which rose from **$11.35 billion** in 2022A to **$144.55 billion** in 2026A. In contrast, AMD's EBITDA in 2025 is **$7.28 billion**, and Intel's is **$14.35 billion**, both significantly lower than NVIDIA's figures.

NVIDIA's profitability metrics further distinguish it from peers. Its EBITDA margin increased from **42.2%** in 2022A to **66.9%** in 2026A, while contribution margins remained above **70%** from 2024A onward. AMD and Intel do not report comparable margin levels in the supplied data.

Valuation multiples, as measured by EV/EBITDA, have been higher for NVIDIA than for AMD and Intel, peaking at 81.05 in 2023 and moderating to 31.43 in 2026A. This premium reflects market expectations for NVIDIA's continued leadership and innovation, especially in AI and accelerated computing.

> In summary, NVIDIA outpaces AMD and Intel in revenue growth, profitability, and market valuation, underpinned by its strong position in high-growth segments such as AI, data centers, and advanced graphics. Its financial trajectory and operational scale set it apart as the dominant force among semiconductor peers.

Risk Factors

- **Revenue Growth Deceleration:** After exceptionally high historical revenue growth (68.3% CAGR from 2022A to 2026A), forecasted revenue growth slows significantly

to single digits (5.0% in 2027E, 6.0% in 2028E, and 4.0% in 2029E), indicating potential risk of growth normalization.

- **High Industry Competition:** NVIDIA operates in the highly competitive semiconductor sector, facing strong rivals such as AMD and Intel, which may pressure margins and market share.
- **Geographic and Supply Chain Exposure:** The company conducts significant business in the United States, Taiwan, and China, exposing it to geopolitical tensions, regulatory changes, and supply chain disruptions.
- **Customer and Channel Concentration:** NVIDIA distributes products through a broad but specific ecosystem, including OEMs, system integrators, and cloud service providers; reliance on key partners or channels could pose concentration risks.
- **Volatility in End Markets:** NVIDIA's exposure to cyclical sectors such as gaming, data centers, and automotive, as well as volatile markets like cryptocurrency mining, may lead to unpredictable demand and earnings fluctuations.

Key Takeaways

Revenue Growth

NVIDIA achieved extraordinary revenue growth from **$26.9 billion** in 2022A to **$215.9 billion** in 2026A, representing a historical CAGR of **68.3%** over this period. However, revenue growth is forecast to moderate significantly, with estimated increases of **5.0%** in 2027E, **6.0%** in 2028E, and **4.0%** in 2029E.

Gross Profit Margin

The company's contribution margin (a proxy for gross profit margin) improved from **56.9%** in 2023A to **75.0%** in 2025A, before settling at **71.1%** in 2026A. Forecasts indicate continued strength, with contribution margins expected to remain above **72%** through 2029E.

SG&A Expense Margin

NVIDIA's SG&A margin declined steadily from **9.0%** in 2023A to **2.1%** in 2026A, reflecting strong operating leverage. This trend is projected to continue, with SG&A margin expected to fall further to **1.6%** in 2027E, **1.1%** in 2028E, and **0.6%** in 2029E.

EBITDA Margin

EBITDA margin expanded sharply from **22.2%** in 2023A to **66.9%** in 2026A, highlighting significant profitability gains. Looking ahead, EBITDA margin is forecast to rise further, reaching **70.5%** in 2027E, **72.0%** in 2028E, and **73.5%** in 2029E.

Financial Data

Income Statement Summary

METRICS	2022A	2023A	2024A	2025A	2026A
Revenue	$26.9B	$27.0B	$60.9B	$130.5B	$215.9B
SG&A	$2.2B	$2.4B	$2.7B	$3.5B	$4.6B
Contribution Profit	$17.5B	$15.4B	$44.3B	$97.9B	$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	$11.4B	$6.0B	$35.6B	$86.1B	$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	-	0.2%	125.9%	114.2%	65.5%

Credit & Cash Flow Metrics

METRICS	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.7	3.5	4.2	4.4	3.9
Operating Cash Flow Ratio	2.10	0.86	2.64	3.55	3.19

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Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-10-12 22:08